AC444 Valuation and Security Analysis

Summative Assessment

Winter Term 2025/2026

Administrative details

i. Attendance to classes during Week 11 is compulsory. No mark will be awarded to students who are absent during their presentation time. Each group can only attend its own presentation based on assigned presentation time.

ii. We will be looking at about **12 minutes** per group, including **10 minutes** presentation and **2 minutes** Q&A. Please make sure to finish on time; if not we will have to interrupt your presentation.

iii. Your group report should be submitted online via Moodle by **9am on Monday of Week 11**. Each group should nominate a member who will be responsible for submitting the group assignment. No mark will be awarded for students who fail to submit their group slides on Moodle.

iv. The report should be in **slides format,** and you may make use of any multimedia tools your group wishes. Your group should aim to make the presentation as professional, polished, imaginative and as interesting as possible. The appendix and references should be submitted separately in PDF format.

v. Please print **two copies** of your slides to be handed to class teachers on your presentation date. However, group presentation slides handed-in are not meant to substitute your official Moodle submission. LSE's General Academic Regulations on Late Assessment Submission apply. If there was an exceptional circumstance affecting the presentation and submission of the slides, please contact your class teachers as soon as possible.

vi. LSE's Regulations on Assessment Offences: Plagiarism apply. All materials used to prepare the group presentation need to be accordingly referenced if needed. You must ensure that you always cite the source of information when you present an idea or point that you have read somewhere else, or you have produced somewhere else. Otherwise, you might be in danger of plagiarising someone else's or your own work. All quotations should include page numbers and be attributed to works in the list of references.

vii. This summative assessment carries a 40% weight on your overall course grade. Each submitted group report and presentation will be assigned a grade. Every student in the group will receive the same grade.

Project topic and deliverables

i. Project topic: for this project you are required to make a comprehensive analysis of a firm that reports under IFRS or US GAAP. Using all information provided, you will need to make your own assessment of the firm.

ii. Deliverables: you are required to prepare a report ***(in slides format)*** containing the following sections:

(a) Introduction: this section should summarize the main challenges encountered while working on the project. When describing these challenges, do so within the context of the specific requirements described below.

(b) Main body: this section should contain different subsections with your answers to the specific questions on the requirements below. Also, you should describe, for each question, how you have dealt with any challenges faced.

(c) Conclusion: this section should describe the main conclusions obtained from your work and ultimately should be clear as to whether you would buy or sell the stock.

Sections (a), (b), and (c) should be included in your slides and presentation.

(d) Appendices and References: See "Important notes" section for details. **This should be submitted separately.**

(e) **A statement signed by all group members** who have made a significant contribution to the report and presentation. Please submit only ONE report per group. **This should be submitted separately in PDF format.**

Please note: in group work there will always be some group members who ex post would have made a greater or lesser contributions to the outcomes. But this requirement is intended to identify only any group members who have not made a serious effort to participate in, and contribute towards, the report or presentation.

Learning objectives

i. Develop your analytical skills

ii. Develop your critical thinking

iii. Develop your job market skills by working with complex and incomplete information which will require you to make "most reasonable" assumptions

iv. Develop your ability to identify challenges and propose solutions

v. Develop you presentation and teamwork skills

Project details

Your group will be analyzing one company. Your assigned company will be announced after the groups have been finalized.

REQUIRED:

1. Core Business strategy and competitiveness. Analyse the company's core strategy and competitiveness, including discussions on the advantages and risks of the strategy.

2. Comprehensive financial statement and accounting analysis. Analyse the company's financials, including identifying red flags in accounting estimates and choices, making necessary accounting adjustments, and recasting (adjusting) the financial statements.

3. Detailed financial ratio analysis. Conduct detailed ratio analysis using adjusted financial statements. Analyse the key drivers of the company's past and recent performance. Compare the company's performance with its industry peers.

4. Prospective analysis and key forecasts. Develop forecasts and discuss any assumptions you deem necessary to value the company's common equity in the next step.

5. Valuation and recommendation:

(a) Value your assigned stock using two methods: the "discounted free cash flows" (DCF) and the present value of abnormal operating income (PVAOI) methods. Comment on any discrepancy in the valuation outcomes. Provide tables clearly showing which pay-offs you are discounting, your discount rate, your terminal value calculations, your target price, as well as the results from your sensitivity analysis.

(b) Using your target price and the insights from your analysis, make a recommendation to either buy or sell the stock (do not be neutral).

6. Environmental, social, and governance (ESG) factors: Comment on the firm's ESG performance. Explain whether and which ESG factors could affect your analysis, including accounting analysis, financial and ratio analysis, strategy analysis, prospective analysis and valuation.

Important notes:

1. Following the department policy, the use of ChatGPT and other generative AI tools is **prohibited** for the group project.
2. Financial Statements availability and timing:
   a. The main analysis should focus on the most recent available annual reports and sustainability disclosure that you can access. This may mean that your analysis is based upon outdated material – for the purposes of this course, that is OK.
   b. If any quarterly reports are issued after the date of the annual report being used, these should be disregarded and not form part of your analysis.

   c. You should consider using information in your report from at least the last three years.
3. Peer firm choices: You will want to select two to three appropriate peers in your analysis. Clearly state your rationale for your choices.
4. Your Appendices should include the following (but not limited to):
   a. Original financial statements for all 3 years.
   b. Recast financial statements for all 3 years (clearly showing how you are recasting them).
   c. Ratio calculations for all years, and all peers (clearly showing how you calculated each ratio).
   d. Any other calculations you have conducted at the background.
5. Your References should include:
   a. Any materials you relied on other than course lecture notes.
   b. All references should contain an active hyperlink to the actual materials or screenshots of website you used.
6. The final group assignments posted on Moodle should be strictly followed. No student is allowed to switch groups. Any members of a group who switched group will receive zero grades.

Frequently Asked Questions

Q: Do we have to submit a full analyst report? A: No, the only required deliverables are the presentation slides and the presentation itself. You are not required to prepare a full analyst report. The group presentation should be seen as an opportunity to present your company valuation to your clients. You will have 10–12 minutes, and the presentation must be clear and effective. Your marks will be based on both the content and the effectiveness of communication. Any material not presented within the allocated time will not be marked. Of course, significant background work is necessary to prepare your slides and presentation. You are welcome to submit an appendix for reference and an Excel file with your calculations.

Q: Can we make changes to the slides between the Moodle submission and the actual presentation? A: No. The requirement to submit slides on Moodle in advance ensures fairness—groups presenting later in the week will not have extra time to refine their slides. The slides used for your presentation must be identical to the version you submit online. Any changes made between submission and presentation will be disregarded and not marked.

Q: Are all group members required to speak during the presentation? A: No, not everyone within the group needs to deliver the presentation, but all group members must attend your group's presentation. You can decide among yourselves who will deliver the presentation. Only professors and group members will attend your presentation; students from other groups are not permitted to attend. Professors will ask questions during Q&A.

Q: How many peer firms should we choose, and which ones? A: Your group can decide which and how many peer firms to use. This choice is part of the assessment. They do not have to be from the firms assigned to other groups.

Q: Are we allowed to use materials from other courses? A: Your analysis should be limited to the scope of this course, i.e., the concepts and topics covered in the lectures. If you use concepts and methods from other courses (e.g., SWOT analysis from a strategy course), they will not be marked.

Q: Can we use information from the internet, such as annual reports and analyst reports? A: Yes, you are welcome to use external resources. However, make sure you reference all sources and materials properly.

Q: Can we use generative AI tools? A: Following the School's policy on AI, the use of ChatGPT and other generative AI tools is prohibited for the group assignment. Please read the Departmental Generative AI Policy on the Moodle course page.

Q: Do we have to use 2025 annual reports, which will only be released in March? A: No. Given that the financial statements for 2025 have not yet been released for most firms with a fiscal year ending 31 December, you will not lose any marks by using financial statements up to 2024 only.

Q: How many years should we go back? A: You are required to use at least three years of reports. How far back to go depends on how many years you believe are necessary to analyse the firm's performance trend.

Q: Do we need to standardise and adjust the financial statements of competitors? A: This is your group's decision and is part of the assessment.

Q: When analysing competitors' financial statements, can we use the adjusted financial statements and/or ratios computed by other groups? A: No. Every group must conduct the project without assistance from other groups.

Q: Do we have to make accounting adjustments? A: No. As a general rule, you should focus on adjustments that will have a material impact on your valuation and stock price recommendation. If your group does not believe any adjustments are necessary for that purpose, you do not have to make any. However, please clearly state in your presentation the reasons for this decision.